EG US Daily: Saudi atomic energy deal will survive Congress

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* US AI governance will stay fragmented and executive-driven through 2027
* Congress likely to deal with funding extension after August recess
* Mamdani is building out a progressive brain trust in New York

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Saudi atomic energy deal will survive Congress. The US and Saudi Arabia signed a deal on Tuesday for US companies to operate civil energy facilities in the country while enriching uranium stateside. However, President Trump has said the deal is contingent on Saudi Arabia's accession to the Abraham Accords.

* The Trump administration will now submit a "123 Agreement" to Congress for approval, referring to Section 123 in the U.S. Atomic Energy Act of 1954 that requires congressional review of all nuclear energy agreements. The agreement will go into force after a 90-day review period and is likely to hold. If Congress wishes to block the deal, it will need to submit a joint resolution of disapproval and receive a two-third's majority vote to override a presidential veto.

* There are still significant "known unknowns" about the deal. Two are front of mind in Washington: Whether the deal is in fact contingent on Saudi Arabia's accession to the Abraham Accords, involving diplomatic normalization with Israel, as Trump indicated on Truth Social this morning; and whether it includes any security guarantees.

* The deal has upsides for Washington: the structure around enrichment is non-binding as it centers around a joint, two-year feasibility study on a US run "black box" facility – a point of concession on the Saudi side. The deal's non-binding nature preserves space for Trump to push for Saudi Arabia's engagement in the Abraham Accords as part of the exchange. Additionally, the agreement precludes Saudi nuclear cooperation with China and Russia.

* Reporting indicates the US-Saudi framework lacks safeguards found in prior nuclear energy deals. Namely, the agreement doesn't contain a pledge to not enrich uranium or reprocess spent fuel which

can be used for nuclear weapons. Additionally, the agreement slashed requirements for rigorous IAEA inspections.

US AI governance will stay fragmented and executive-driven through 2027. Eurasia Group has issued a new special report outlining the expected direction of US AI policy through 2027, covering national security, frontier-model oversight, federal and state legislation, and sector-specific regulation.

* US AI policy is in a holding pattern. The current deregulatory, executive-driven approach will persist absent a triggering event that forces a Washington consensus, though President Donald Trump's willingness to act unilaterally on issues like model access and infrastructure means the landscape can shift quickly even without one.

* A small set of triggers applies to nearly every policy area: A dual-use capability or cyber incident, an agentic transaction fraud event, a China-side model or chip shock, and IPO-driven lobbying from the frontier labs could drive unexpected actions.

* Congress is on the sidelines, leaving states, courts, and executive orders to form the basis of policy and governance across trade, data flows, deployment, financial oversight, liability, and infrastructure.

* For more, please see Geo-technology: US AI governance will stay fragmented and executive-driven through 2027 , 22 July, 2026.

Congress likely to deal with funding extension after August recess. The House passed a continuing resolution to fund the government through early December earlier this week, but this doesn't appear to have a pathway to passing the Senate ahead of the August recess, with key Democrats saying the measure doesn't meet their demands.

* This points to a funding debate that plays out in September, and in which the Senate is likely to "jam" the House with its own bipartisan CR, rather than take up the House-passed resolution. Our expectation is that the government will be funded at least through the midterm elections in November.

* The timing of the CR debate is crucial. Senate Majority Leader John Thune (R-SD) has been clear that he would prefer to address government funding before addressing the administration's request for a defense supplemental. If the CR takes up much of September, that would mean the odds of the defense supplemental being taken up in Congress's post-midterms lame duck session are now higher.

* Thune's plan to use the House-passed reconciliation bill as a back-up plan to pass government funding, in case a bipartisan effort in September fails, is more feasible than it might seem. While the rules of the reconciliation process clearly do not permit annual appropriations, Republicans have already used reconciliation in the last year to pass multi-year funding for the Department of Homeland Security. If push came to shove, Republicans could, in theory, use reconciliation to fund the government via mandatory direct appropriations, though this effort would likely face resistance from figures like Senator Lisa Murkowksi (R-AK). This would be an enormous shift in the nature of the appropriations process, in effect opening the door to partisan appropriations on a near-permanent basis.

Mamdani is building out a progressive brain trust in New York. New York City Mayor Zohran Mamdani appointed former Federal Trade Commission chair Lina Khan as chair of the New York Economic Development Corporation, a major city agency that has wide-ranging responsibilities for financing, tax incentives, and the use of city-owned land.

* Khan will not be in charge of the corporation on a day-to-day basis, which will fall instead to the newly-named chief executive, but her appointment indicates that she is not retreating from the public stage after the Biden administration.

* That will make her a very plausible pick for an economic-focused position in a potential Democratic administration in 2029. If she chooses to take an active role at the EDC, which would be unusual for a chair, it could be a model on a miniature scale of what a progressive industrial policy could look like under a future Democratic president.

* More broadly, Mamdani appears to be deliberately building a stable of progressive policy minds in New York. Former labor secretary Julie Su is serving a deputy mayor for economic justice, a role that—like Khan's—keeps her in the spotlight in Democratic circles ahead of 2028.

Quote of the Day

"Everybody call John Thune at the Senate. He's the leader of the Republican Party. And tell him to get this stuff approved." - Trump speaking at a rally in Georgia last night; Sen. Thune (R-SD) has constantly frustrated Trump by refusing to schedule votes on the SAVE America Act and abolishing the filibuster, two proposals that would certainly fail if voted on. The rift between Thune and Trump is emblematic of Trump's broader approach to legislation: he has little concern how initiatives would impact the GOP's electoral chances and expects deference from all members of his party, regardless of the vote-counting math, with any opposed legislators becoming targets.

On the Radar

24 July: Section 122 tariffs expire

27 July – 28 August: House on recess

4 August: Michigan primary election

10 August – 11 September: Senate on recess

19 August: Section 338 tariffs on Canada go into effect

3 November: National midterm elections

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Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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